

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Inflation held steady** at 2.7% in July even as Trump's tariff increases left their mark on some consumer prices, keeping a Fed rate cut in play for next month. **A1**
- ◆ **The S&P 500 and Nasdaq** rose 1.1% and 1.4%, respectively, to close at records while the Dow gained 1.1%. **B11**
- ◆ **China's ambition** to turn its open-source AI models into a global standard has jolted American companies and policymakers. **A1**
- ◆ **The founders** of natural-gas exporter Venture Global scored a win when an arbitration court sided with it in its legal fight against Shell. **B1**
- ◆ **Musk said Apple** is behaving anticompetitively by promoting OpenAI's ChatGPT while suppressing his Grok AI chatbot in the App Store. **B1**
- ◆ **New York City developers** are converting at least a dozen hotels that housed migrants into new apartments. **B1**
- ◆ **Tycoon Do Kwon** pleaded guilty to two criminal counts of fraud in the 2022 crash of two of his cryptocurrency coins. **B1**
- ◆ **Circle Internet**, the issuer of the world's second-largest stablecoin, posted a quarter loss after one-time charges related to its June IPO. **B11**
- ◆ **Spirit Airlines** said it might not continue to operate if its financial results don't improve faster than expected. **B3**
- ◆ **Wage growth** for low-income workers looks to have significantly deteriorated in recent months. **A3**
- ◆ **A \$16 billion merger** of two state-controlled shipbuilders in China will create the world's biggest shipbuilder. **A6**

World-Wide

- ◆ **The Trump family's crypto** venture has generated some \$4.5 billion in wealth since the election, thanks in part to a partnership with a trading platform administered by Binance, whose founder is seeking a pardon from Trump, according to people familiar with the matter. **A1**
- ◆ **Harvard is nearing** a \$500 million settlement with the Trump administration in the White House's campaign to punish universities that it says failed to stop antisemitism on campus. **A3**
- ◆ **U.S. Steel's CEO** defended the safety record of the company after an explosion at one of its Pennsylvania plants killed two people and injured 10 others. **A3**
- ◆ **The White House** plans to review the Smithsonian's exhibits ahead of America's 250th anniversary to ensure the museums align with Trump's interpretation of American history. **A4**
- ◆ **The man** who opened fire outside the CDC's Atlanta headquarters had been critical of the Covid-19 vaccine. **A2**
- ◆ **Russian forces** made a sudden thrust in eastern Ukraine in recent days, as Putin seeks a battlefield advantage ahead of talks with Trump. **A5**
- ◆ **The State Department's** human-rights report criticized U.S. allies in Europe for perceived curbs on freedom of expression while cutting sections on LGBTQ rights and government corruption. **A7**
- ◆ **Wildfires** burned in parts of Europe as millions of people struggled to adapt to record summer heat. **A7**

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National Guard Deploys in Capital



ON DUTY: Army National Guard Humvees line up near the Washington Monument on Tuesday, part of a move pushing the boundaries of the use military power on U.S. soil. **A4**

Trump Crypto Riches Tied To Little-Known Platform

By ANGUS BERWICK AND PATRICIA KOWSMANN

The Trump family's crypto venture has generated more wealth since the election—some \$4.5 billion—than any other part of the president's business empire.

A major reason for the success is a partnership with an under-the-radar trading platform quietly administered by Binance, the world's largest crypto exchange, whose founder is seeking a pardon from President Trump, according to people familiar with the matter.

The online trading platform, PancakeSwap, serves as an incubator of sorts, drumming up interest among traders to use

coins issued by the Trump family's main crypto company, World Liberty Financial.

The more World Liberty's flagship coin, USD1, is used, the greater the demand to increase its circulation, and the greater the profit for World Liberty and its owners, including the Trump family.

PancakeSwap is an online marketplace for cryptocurrencies. It connects users who trade USD1 with newly created currencies such as Torch of Liberty and Eagles Landing. These patriotic-sounding coins, according to their websites, were launched this year with the main purpose of helping increase the use of USD1.

Traders, mostly writing in

Chinese, gather in groups on the Telegram messaging app to talk about competing for rewards paid out to top users of USD1 and advertised by PancakeSwap.

World Liberty and PancakeSwap announced their partnership to boost USD1's adoption in June.

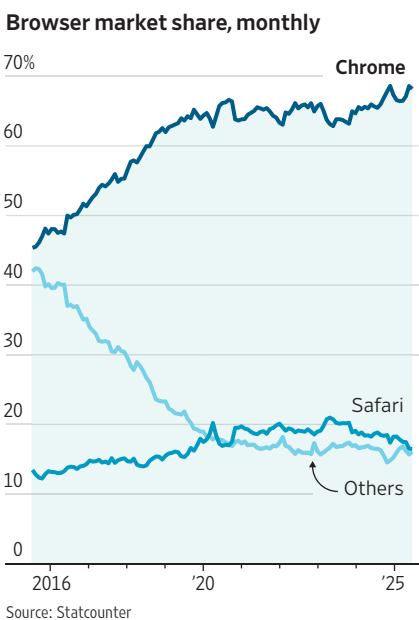
Crypto trading platforms often offer rewards or prizes to drum up interest in new coins, similar to the way brokerages offer free trades or casinos give first-time customers free chips.

What wasn't disclosed at the time is that employees inside Binance created PancakeSwap, according to people

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Chrome Draws Big Bid

Artificial-intelligence startup Perplexity offered to purchase Google's Chrome browser for \$34.5 billion as it seeks to challenge the tech giant's web-search dominance. Perplexity's offer is significantly more than its own valuation, which is estimated at \$18 billion. **B1**



China's Open-Source AI Lead Jars Washington, Silicon Valley

By RAFFAELE HUANG

China's ambition to turn its open-source artificial-intelligence models into a global standard has jolted U.S. companies and policymakers, who fear U.S. models could be eclipsed and are mobilizing their responses to the threat.

Chinese advances in AI have come one after another this year, starting with the widely heralded DeepSeek and its R1 reasoning model in January. This was followed by Alibaba's Qwen and a flurry of others

since July, with names such as Moonshot, Z.ai and MiniMax.

The models all have versions that are free for users to download and modify. This approach, commonly referred to as open source or open weight, is driving global adoption of Chinese AI technology.

U.S. companies that have kept their models proprietary are feeling the pressure. In early August, ChatGPT maker OpenAI released its first open-source model, called gpt-oss.

The history of technology offers many examples where a

welter of competitors in an industry's infancy eventually evolved into a monopoly or oligopoly of a few players. Microsoft's Windows operating system for desktops, Google's search engine, and the iOS and Android operating systems for smartphones are just a few of the examples.

History also teaches that the battle to become an industry standard isn't necessarily won by the most technologically advanced player. Easy availability and flexibility play

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Meet the Parents Raising 'Carnivore Babies'

Rise of animal-heavy diets for infants, toddlers concerns pediatricians

By ANDREA PETERSEN

When Dariya Quenneville's infant daughter was ready for solid food, she skipped the mushed up avocado and banana. On the menu instead? Raw egg yolk and puréed chicken liver.

The child, named Schizandra, then moved on to sardines, butter and ice pops made out of bone broth. She gnawed on leg of lamb. "She would just teethe on that and soothe herself," said Quenneville, 31.

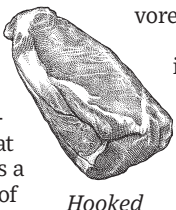
Schizandra is what her mom calls a "carnivore baby." Most of her diet is meat, along with other animal-sourced foods like eggs and butter. "She's an easy baby," said Quenneville of her daughter, now almost 2. "I believe that the food in the diet is a very, very big piece of that."

With the carnivore diet rising in popularity among adults, babies and toddlers are getting

in on it, too. Moms swap tips—think directions for whipped bone marrow—on Facebook forums with names like Carnivore Motherhood.

Some parents say they're inspired by social-media stars: A handful of doctors who are raising their own carnivore babies have YouTube channels with hundreds of thousands and even millions of subscribers. Rising interest in protein and concerns about

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INSIDE



PERSONAL JOURNAL
Do you need to own a house? Many older Americans decide to rent instead. **A9**



BUSINESS & FINANCE
Cryptocurrency tycoon Do Kwon pleads guilty to fraud, faces up to 25 years in prison. **B1**